FIRST-PASS DILIGENCE MEMO

AeroVironment

Company	AeroVironment, a Delaware corporation headquartered in Arlington, VA (p. PDF 1)
Ticker / Status	NASDAQ: AVAV (public) (p. PDF 1)
Source document	Annual report for the fiscal year ended April 30, 2026 (pp. 50, 65)
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1. Executive Summary

- **Business in one sentence:** AeroVironment is a defense technology provider that designs, produces and supports autonomous systems, precision strike, counter-UAS, space-based platforms, directed energy, and cyber/EW capabilities, primarily for the DoD, other federal agencies and allied governments (p. 85).
- **Scale:** FY2026 revenue was $1,976.8 million, total Segment Adjusted EBITDA was $286.1 million, and loss from operations was $(311.0) million (p. 65).
  - FY2026 is not comparable to prior years because BlueHalo closed on May 1, 2025 and ESAero closed on March 16, 2026 (p. 127).
- **Key positives:**
  - Underlying growth is real: organic revenue growth was 26.4% (calc.), with legacy product revenue up $196.6 million on LMS, MacCready Works and MUAS demand (calc.; pp. 66, 81, 116, 118).
  - The balance sheet was refinanced into $747.5 million of 0% convertible notes due 2030, leaving net leverage of 0.40x and liquidity of $969.1 million (calc.) (calc.; pp. 35, 36, 65, 80, 84, 104, 105).
  - The core AxS segment earned a 21.3% Segment Adjusted EBITDA margin (calc.), and its Segment Adjusted EBITDA rose 97% to $288.7 million (calc.; pp. 65, 68).
- **Key concerns:**
  - Cash conversion is deeply negative: FY2026 free cash flow was $(140.9) million, or -49.3% of Adjusted EBITDA (calc.) (calc.; pp. 65, 84).
  - The control environment is weak on three counts (pp. 76, 127, 128):
    - Deloitte issued an adverse ICFR opinion. (pp. 76, 127, 128)
    - The Q3 FY2026 10-Q was restated. (pp. 76, 127, 128)
    - BlueHalo and ESAero, about 48% of revenue, were excluded from the ICFR assessment. (pp. 76, 127, 128)
  - The acquired SCDE segment lost money at the Segment Adjusted EBITDA level ($(2.6) million), and the SCAR/BADGER termination drove a $240.7 million goodwill impairment and a securities class action (pp. 55, 67, 68).
- **Biggest open question:** Why did $286.1 million of Segment Adjusted EBITDA convert to $(78.4) million of operating cash flow, and when will the $570.4 million of unbilled receivables bill and collect? (pp. 65, 80, 84)

2. Business Overview

- **Segments:** Effective May 1, 2025, in connection with BlueHalo, the company reports two segments: Autonomous Systems (AxS) and Space, Cyber and Directed Energy (SCDE) (p. 3).
  - FY2026 segment revenue was $1,358.1 million for AxS and $618.8 million for SCDE (p. 65).
  - Effective May 1, 2026, Autonomous R&D moved into SCDE, so future segment comparisons will shift again (p. 65).
- **AxS:** The segment covers UAS, UUVs and ground robots. It combines the former UxS, LMS and MW segments with BlueHalo's IAMD, EW and UUV products (p. 85).
  - Precision Strike includes the Switchblade 300, 400 and 600 loitering munitions, Red Dragon and the newly launched Mayhem 10 (p. 4).
  - IAMD includes the Titan RF counter-UAS family and the FE-1 kinetic interceptor (p. 4).
- **SCDE:** The segment provides space-based and ground-based platforms, cyber capabilities and directed energy systems, including LOCUST laser weapons (pp. 6, 85).
  - The company has over 260 space-qualified hardware systems in orbit (p. 6).
- **FY2026 revenue by operating group:**
  - Precision Strike and Defense Systems: $848.3 million (p. 94).
  - Uncrewed Aircraft Systems: $363.9 million (p. 94).
  - Cyber and Mission Solutions: $345.4 million (p. 94).
  - Space and Directed Energy: $273.4 million (p. 94).
  - Other: $145.9 million (p. 94).
- **Product trends:**
  - Precision Strike and Defense Systems revenue rose from $192.6 million in FY2024 to $359.4 million in FY2025 (p. 94).
  - Uncrewed Aircraft Systems revenue fell from $407.7 million in FY2024 to $352.0 million in FY2025 (p. 94).
- **Business model:**
  - FY2026 revenue was $1,415.3 million product sales and $561.5 million contract services (p. 81).
  - Management expects the services share to remain higher after BlueHalo (p. 66).
  - 70% of FY2026 revenue was recognized over time, versus 43% in FY2024 (p. 94).
  - Customer-funded R&D revenue was $240.9 million in FY2026, versus $78.5 million in FY2025 (p. 96).
  - A significant number of contracts typically run less than six months, which limits visibility (p. 61).
- **Geographic footprint:**
  - FY2026 revenue was $1,420.4 million domestic and $556.4 million international (p. 94).
  - Major leased sites are Simi Valley, CA (about 280,000 sq ft), Albuquerque, NM (about 200,000 sq ft), Huntsville, AL (about 150,000 sq ft) and Moorpark, CA (about 150,000 sq ft) (p. 55).
  - International sites are Hampton Bishop, UK and Stuttgart, Germany; Telerob is the German subsidiary (pp. 24, 55).
- **Headcount:**
  - 3,991 full-time and 100 part-time employees as of April 30, 2026 (p. 10).
  - 2,366 employees work in R&D and engineering, and over 208 hold PhDs (p. 10).
  - Revenue per employee was $0.50 million (calc.) (calc.; pp. 10, 81).
  - Cleared headcount: Not disclosed.
- **History and M&A:**
  - The company was incorporated in California in July 1971 and reincorporated in Delaware in 2006 (p. 14).
  - Serial acquirer: Arcturus and ISG (February 2021), Telerob (May 2021), Planck (August 2022), Tomahawk (September 2023), BlueHalo (May 2025) and ESAero (March 2026) (p. 32).

- **BlueHalo:** Closed May 1, 2025 for merger consideration, net of cash acquired, of $3,484.9 million, including 17,425,849 shares (pp. 49, 78).
- **ESAero:** Acquired March 16, 2026 for an aggregate purchase price of $177.9 million, including 671,078 shares (p. 115).
- **Ownership:**
  - Entities affiliated with Arlington Capital Partners beneficially own about 26.3% of common stock (p. 48).
  - Arlington's two board nominees resigned effective June 17, 2026, and no replacements have been designated (p. 49).
  - Shares outstanding rose from 28,267,517 to 50,610,514 over FY2026, driven by the BlueHalo share issuance and the July 2025 equity offering (pp. 80, 83).
- **Management:** CFO transition is under way, with a retirement agreement with Kevin McDonnell (February 20, 2026) and an offer letter to Robert Smith (March 18, 2026) (p. 134).

3. Market & Competitive Position

- **Market size:** Not disclosed.
- **Named competitors, by area:**
  - Loitering munitions: Textron, RTX, Lockheed Martin, Anduril, Aevex, SpektreWorks, Dragoon, Cummings Aerospace, Elbit and UVision (p. 9).
  - C-UAS and EW: Anduril, Boeing, Lockheed Martin, RTX, DroneShield, SRC, Polaris, CACI, Northrop Grumman and L3Harris (p. 9).
  - Space and directed energy: Boeing, Lockheed Martin, L3Harris, BAE Systems, nLIGHT, Epirus, EO Solutions, Huntington Ingalls and RTX (p. 9).
  - Cyber and mission solutions: L3Harris, Thales, Anduril, Sierra Nevada, Lockheed Martin, Booz Allen Hamilton and Leidos (p. 9).
  - UAS: Elbit, Quantum-Systems, Redwire, Teledyne, Shield AI, Northrop Grumman, Airbus, Israeli Aircraft Industries and others (p. 20).
- **Competitive advantages (management's view):**
  - Management believes no competitor matches the breadth and depth of its product lines or its core expertise (p. 9).
  - The company holds 407 U.S. patents and 64 pending applications (p. 8).
  - A significant portion of its technology is not patented, and the U.S. government holds licenses to IP developed under government contracts (p. 46).
  - Manufacturing is ISO 9001:2015 + AS9100D certified, and management says it can produce thousands of systems annually (p. 10).
- **Regulatory and policy exposure:**
  - **Budget:** DOGE review of Pentagon spending makes U.S. program funding uncertain (p. 17).
  - **Funding mechanism:** A portion of contracts is funded through operational needs statements rather than programs of record, which gives less visibility (p. 18).
  - **CMMC:** Failure to achieve the required CMMC level would bar bidding on new DoD contracts that carry CMMC clauses (p. 54).
  - **Cyber compliance investigation:** In February 2026 the company opened an external-counsel-led internal investigation into Legacy AV's compliance with DoD cybersecurity requirements, including the accuracy of SPRS information. It is ongoing (p. 45).
  - **China:** China sanctioned the company in January 2024 and added it to its export control list in March 2025, while most rare earth metals are sourced from China (p. 25).
  - **Domestic non-military sales:** Expansion to non-military U.S. customers depends on FAA and other approvals (p. 43).

- **C-UAS deployment:** RF and directed-energy C-UAS face stringent regulatory scrutiny (p. 43).
- **Commercial-item status:** A dispute over commercial-item designation of products sold to the U.S. government could reduce profitability (p. 39).
- **U.S. export controls / ITAR:** Not disclosed.

4. Customers, Contracts & Backlog

- **Customer concentration:**
  - U.S. government agencies accounted for 85%, 75% and 76% of revenue in FY2026, FY2025 and FY2024 (p. 87).
  - The U.S. Army accounted for 25%, 20% and 11% of revenue in FY2026, FY2025 and FY2024 (p. 87).
  - Top-10 customer concentration: Not disclosed.
- **Ukraine:**
  - Ukraine was $149.6 million, or 18%, of FY2025 revenue and $274.1 million of FY2024 revenue (p. 125).
  - No foreign country exceeded 10% of FY2026 revenue (p. 8).
  - FY2025 UxS deliveries fell $62.1 million, mainly on lower sales to Ukraine (p. 68).
- **International mix shift:** Non-U.S. customers, including FMS, fell from 62% of revenue in FY2024 to 52% in FY2025 and 28% in FY2026 (p. 125).
  - The FY2026 drop also reflects the mostly domestic BlueHalo revenue base; the findings do not separate the two effects. (p. 125)
- **Government exposure:**
  - The DoD accounted for about 63% of FY2026 revenue (p. 17).
  - U.S. government sales, as prime or sub and including FMS, were about 85% (p. 17).
  - Other U.S. government agencies and government subcontractors accounted for 47% of FY2026 revenue (p. 7).
- **Prime vs. sub:** The company often acts as a subcontractor and expects to depend on primes for a portion of revenue (p. 40).
  - Prime vs. sub revenue split: Not disclosed. (p. 40)
- **Contract type mix (calc.):**
  - FY2026: fixed-price 70.0%, cost-plus 23.0%, T&M 7.0% (calc.; pp. 81, 94).
  - FY2025: fixed-price 90.9% and cost-plus 8.3% (calc.; pp. 81, 94).
  - The shift toward cost-plus coincides with BlueHalo, and management notes cost-plus margins are typically lower (pp. 18, 26).
- **Backlog:**
  - Funded backlog was $1,183.0 million at April 30, 2026, versus $726.6 million a year earlier (p. 11).
  - Unfunded backlog was $1,457.7 million, versus $774.6 million, with the increase primarily due to BlueHalo (p. 11).
  - Unfunded backlog excludes unfunded IDIQ ceiling amounts (p. 11).
- **Backlog coverage weakened despite larger backlog (calc.):**
  - Total backlog was $2,640.7 million, or 1.34x FY2026 revenue, versus 1.83x in FY2025 (calc.; pp. 11, 81).
  - Funded backlog coverage fell to 0.60x from 0.89x (calc.; pp. 11, 81).
- **RPO:** Remaining performance obligations were about $1,176.2 million, with about 85% expected to be recognized in FY2027 (p. 92).
- **Concentration in backlog:** No individual contract exceeded 10% of funded backlog (p. 7).
- **Book-to-bill:** Not disclosed.
- **Key contracts and events:**

- **SCAR/BADGER:** The Space Force SCAR program OTA for BADGER phased array antennas was stop-worked in January 2026 and terminated for convenience in March 2026 (p. 34).
- **FMS stop-work:** FMF-funded foreign military sales contracts received a stop-work order, later lifted, because of shifting aid priorities (p. 19).
- **LMS revenue timing:** LMS revenue will move from over-time to point-in-time recognition once a DCS contract is received, which is expected in FY2027 (p. 61).
- **IAMD loss contract:** One IAMD contract carried a $3.9 million forward loss reserve (p. 93).
- **Recompete and expiration schedule:** Not disclosed.

5. Financial Summary

Financial summary

Metric ($ in millions)	FY2024	FY2025	FY2026
Revenue	716.7 (p. 81) ✓	820.6 (p. 81) ✓	1,976.8 (p. 81) ✓
Revenue growth % (calc.)	*n/a*	*14.5% (calc.; p. 81)*	*140.9% (calc.; p. 81)*
Gross profit	283.9 (p. 81) ✓	318.6 (p. 81) ✓	500.6 (p. 81) ✓
Gross margin % (calc.)	*39.6% (calc.; p. 81)*	*38.8% (calc.; p. 81)*	*25.3% (calc.; p. 81)*
Operating income (loss)	71.8 (p. 81) ✓	40.8 (p. 81) ✓	(311.0) (p. 81) ✓
EBITDA (as reported by company)	Not disclosed	Not disclosed	Not disclosed
Adjusted EBITDA (as reported by company)	127.8 (p. 66) ✓	146.4 (p. 65) ✓	286.1 (p. 65) ✓
D&A	35.7 (p. 84) ✓	41.0 (p. 84) ✓	265.0 (p. 84) ✓
Capex	23.0 (p. 84) ✓	19.5 (p. 84) †	62.5 (p. 84) ✓
Capex % of revenue (calc.)	*3.2% (calc.; pp. 81, 84)*	*2.4% (calc.; pp. 81, 84)*	*3.2% (calc.; pp. 81, 84)*
Backlog (total)	Not disclosed	Not disclosed	Not disclosed
Largest customer % of revenue	76.0% (p. 87) †	75.0% (p. 87) †	85.0% (p. 87) ✓

Cash conversion & earnings quality

Metric ($ in millions)	FY2024	FY2025	FY2026
Organic revenue growth % (calc.)	*n/a*	*n/a*	*26.4% (calc.; pp. 81, 116, 118)*
Operating cash flow	15.3 (p. 84) ✓	(1.3) (p. 84) ✓	(78.4) (p. 84) ✓
Free cash flow (OCF - capex) (calc.)	*(7.7) (calc.; p. 84)*	*(20.9) (calc.; p. 84)*	*(140.9) (calc.; p. 84)*
FCF / Adj. EBITDA (calc.)	*-6.0% (calc.; pp. 66, 84)*	*-14.2% (calc.; pp. 65, 84)*	*-49.3% (calc.; pp. 65, 84)*
GAAP EBITDA (op. income + D&A) (calc.)	*107.6 (calc.; pp. 81, 84)*	*81.8 (calc.; pp. 81, 84)*	*(46.0) (calc.; pp. 81, 84)*
Add-backs to reach Adj. EBITDA (calc.)	*20.2 (calc.; pp. 66, 81, 84)*	*64.6 (calc.; pp. 65, 81, 84)*	*332.0 (calc.; pp. 65, 81, 84)*
of which: goodwill impairment	Not disclosed	Not disclosed	240.7 (p. 118) ✓
Add-backs excl. impairment, % of Adj. EBITDA (calc.)	*n/a*	*n/a*	*31.9% (calc.; pp. 65, 81, 84, 118)*
DSO incl. unbilled, days (calc.)	*n/a*	*174 (calc.; pp. 80, 81)*	*164 (calc.; pp. 80, 81)*
DIO, days (calc.)	*n/a*	*105 (calc.; pp. 80, 81)*	*77 (calc.; pp. 80, 81)*

Balance sheet & liquidity (fiscal year end)

Metric ($ in millions)	FY2024	FY2025	FY2026
Total debt (principal)	Not disclosed	30.0 (p. 105) ✓ ⚠	747.5 (p. 105) ✓
Cash + short-term investments (calc.)	*73.3 (calc.; p. 84)*	*40.9 (calc.; p. 84)*	*632.3 (calc.; pp. 80, 84)*
Net debt (calc.)	*n/a*	*(10.9) (calc.; pp. 84, 105)*	*115.2 (calc.; pp. 80, 84, 105)*
Total debt / Adj. EBITDA (calc.)	*n/a*	*0.20x (calc.; pp. 65, 105)*	*2.61x (calc.; pp. 65, 105)*
Net debt / Adj. EBITDA (calc.)	*n/a*	*-0.07x (calc.; pp. 65, 84, 105)*	*0.40x (calc.; pp. 65, 80, 84, 105)*
Liquidity incl. undrawn revolver (calc.)	*n/a*	*201.5 (calc.; pp. 84, 104)*	*969.1 (calc.; pp. 80, 84, 104)*

Operating metrics

Metric ($ in millions, ratios as noted)	FY2024	FY2025	FY2026
Funded backlog / revenue (calc.)	*n/a*	*0.89x (calc.; pp. 11, 81)*	*0.60x (calc.; pp. 11, 81)*
Total backlog / revenue (calc.)	*n/a*	*1.83x (calc.; pp. 11, 81)*	*1.34x (calc.; pp. 11, 81)*
Capex / depreciation (calc.)	*1.34x (calc.; pp. 84, 103)*	*1.15x (calc.; pp. 84, 103)*	*1.75x (calc.; pp. 84, 103)*
Revenue per employee, $M (calc.)	*n/a*	*n/a*	*$0.50 (calc.; pp. 10, 81)*
Fixed-price % of revenue (calc.)	*88.5% (calc.; pp. 81, 94)*	*90.9% (calc.; pp. 81, 94)*	*70.0% (calc.; pp. 81, 94)*
Cost-plus % of revenue (calc.)	*10.8% (calc.; pp. 81, 94)*	*8.3% (calc.; pp. 81, 94)*	*23.0% (calc.; pp. 81, 94)*
T&M % of revenue (calc.)	*0.7% (calc.; pp. 81, 94)*	*0.8% (calc.; pp. 81, 94)*	*7.0% (calc.; pp. 81, 94)*
AxS Segment adjusted EBITDA margin % (calc.)	*17.8% (calc.; pp. 66, 124)*	*17.8% (calc.; pp. 65, 123)*	*21.3% (calc.; p. 65)*
SCDE Segment adjusted EBITDA margin % (calc.)	*n/a*	*n/a*	*-0.4% (calc.; p. 65)*

Table notes

- Cross-check: 41 of 69 sourced inputs match the same figure for the same year on at least one other page (✓). † = found on one page only; verify manually.
- Every (calc.) figure is computed by code from the cited inputs; formulas are listed in calcs.json.
- Method: Add-backs = company Adjusted EBITDA minus GAAP EBITDA (operating income + D&A). If the company's measure is segment-level, add-backs also include costs outside segment results (e.g. unallocated corporate).
- Method: Net debt treats short-term investments as cash.
- Method: No short-term investments found for FY2024; net debt uses cash only.
- Method: No short-term investments found for FY2025; net debt uses cash only.
- Method: Organic growth removes revenue contributed in the year by businesses acquired in that year, as the company discloses it; it does not adjust the prior year.
- Method: Total backlog = funded + unfunded as reported (the company does not report a total).
- Method: Total debt is principal as disclosed (excludes leases; convertible notes at principal).
- Method: Working-capital days use fiscal-year-end balances, not averages; balances acquired mid-year inflate days relative to a full-year average.
- ⚠ Total debt (principal) FY2025: F12-069 is dated 'as of April 30, 2026', not FY2025.
- Adjusted EBITDA slot uses total segment adjusted EBITDA (the company reports only a segment-level measure); FY2024 and FY2025 were all AxS. (pp. 65, 66)
- Acquisitions make years non-comparable: BlueHalo closed May 1, 2025 (incorporated into AxS and SCDE), ESAero acquired March 16, 2026, and Tomahawk acquired September 15, 2023. (pp. 115, 116, 118)
- FY2026 acquired revenue = BlueHalo revenue since acquisition of $919,144,000 plus ESAero revenue of $20,038,000; FY2024 acquired revenue is Tomahawk revenue of $15,883,000. (pp. 116, 118, 120)
- FY2026 total debt consists solely of $747.5 million principal of 0% convertible senior notes due 2030; the $700.0 million term loan was repaid in full. FY2025 debt was $30,000 thousand of revolving credit facility borrowings. (pp. 36, 71, 105)

- FY2026 goodwill impairment of $240,708,000 is disclosed within BlueHalo's loss from operations; Space reporting unit goodwill was approximately $291 million after impairment. (pp. 63, 118)
- Backlog total left empty: only funded and unfunded backlog components are reported; separately, remaining performance obligations were $1,176,192,000 at April 30, 2026. (pp. 11, 92)
- Capex is the cash flow statement purchase of property and equipment, excluding capitalized software to be sold of $(23,674) thousand in FY2026; segment-note capital expenditures of $86,218 thousand include it. (pp. 84, 125)
- Depreciation is PP&E depreciation expense from the property note; the segment note shows FY2026 depreciation of $41,897 thousand on a different basis, and intangible amortization was $203,984,000 in FY2026. (pp. 100, 103, 122)
- Employees are full-time only (3,991); the company also had 100 part-time employees. (p. 10)
- Largest customer is the U.S. government (agencies treated as one customer). (p. 87)

Commentary

- Reported FY2026 revenue grew 141%, mostly from acquisitions (p. 66):
  - BlueHalo and ESAero contributed $526.0 million of the product revenue increase. (p. 66)
  - BlueHalo contributed $413.2 million of service revenue. (p. 66)
- Cost of sales grew 194%, faster than revenue, and gross margin fell from 39% to 25% (p. 66):
  - Cost of sales included $92.7 million of intangible amortization and other non-cash purchase accounting. (p. 66)
  - BlueHalo brought a higher services mix. (p. 66)
- Legacy product margin also diluted: legacy product cost of sales rose about $34 million from mix shift toward lower-margin Switchblade production (p. 66).
- The FY2026 operating loss of $(311.0) million was driven by non-cash acquisition charges (pp. 65, 67):
  - a $240.7 million goodwill impairment; (pp. 65, 67)
  - $126.4 million of added SG&A intangible amortization. (pp. 65, 67)
- On a pro forma basis (as if BlueHalo were owned from May 1, 2024), the company lost money in both years (p. 118):
  - Revenue rose from $1,663.3 million in FY2025 to $1,976.8 million in FY2026. (p. 118)
  - Net losses were $(171.7) million and $(190.9) million. (p. 118)
- FY2025 revenue grew 14%, with Switchblade up $164.7 million, partly offset by a $62.1 million UxS decline tied to Ukraine (p. 68).

6. Quality of Earnings Flags

- **EBITDA definition:** Segment Adjusted EBITDA is the CODM's profitability measure (p. 65):
  - It starts from segment operating income before D&A. (p. 65)
  - It adds back goodwill impairment, cloud computing implementation amortization, stock-based compensation, purchase accounting adjustments, acquisition-related expenses and one-time items such as legal expense. (p. 65)
- **PRSU incentives:** PRSUs vest on revenue and non-GAAP adjusted EBITDA targets, so management pay is tied to the adjusted measure (p. 109).
- **Add-back intensity (calc.):**
  - FY2026 GAAP EBITDA was $(46.0) million, versus $286.1 million of Adjusted EBITDA (calc.; pp. 65, 81, 84).
  - Total add-backs were $332.0 million in FY2026, versus $64.6 million in FY2025 (calc.; pp. 65, 81, 84).
  - Excluding the goodwill impairment, add-backs were still 31.9% of Adjusted EBITDA (calc.; pp. 65, 81, 84, 118).
- **Non-GAAP adjustments disclosed:**
  - Goodwill impairment: $240.7 million in FY2026, entirely in SCDE (p. 122).
  - Acquisition-related expenses: $48.2 million in FY2026 and $19.3 million in FY2025 (pp. 122, 123).
  - Stock-based compensation: $38.3 million in FY2026 and $21.5 million in FY2025 (pp. 122, 123).

  - Cloud computing implementation amortization: $5.5 million in FY2026 (p. 122).
  - Equity securities gains deducted: $(11.7) million in FY2026 (p. 122).
  - Legal expense: $2.1 million in FY2025 (p. 123).
  - Purchase accounting adjustments in SG&A: $130.4 million in FY2026, within total intangible amortization and purchase accounting of $223.1 million (p. 66).
- **Recurring "one-time" acquisition costs:** Acquisition costs recur every year in a serial-acquirer model, so treating them as one-time is debatable (pp. 118, 120, 122, 123):
  - Tomahawk: $1.9 million in FY2024. (pp. 118, 120, 122, 123)
  - BlueHalo cumulative: about $64.2 million, including integration. (pp. 118, 120, 122, 123)
- **Ongoing amortization:** Estimated intangible amortization is $173.0 million in FY2027, which will keep GAAP results depressed (p. 101).
- **Non-recurring items below operating income:**
  - Realized gains on equity securities: $11.7 million in FY2026 (p. 67).
  - Equity method (LP fund) income: $17.4 million, versus $4.8 million in FY2025 (p. 65).
  - Unamortized Term Loan issuance costs expensed: $6.7 million (p. 67).
- **FY2025 one-time items:**
  - UGV goodwill impairment of $18.4 million and accelerated UGV intangible amortization of $4.3 million (p. 33).
  - A California Labor Code / PAGA class action settlement was accrued in FY2025, pending court approval (p. 56).
- **Revenue recognition:**
  - Over-time recognition rose to 70% of revenue in FY2026, from 57% in FY2025 and 43% in FY2024 (p. 94).
  - Deloitte flagged contract estimates as a critical audit matter: cost-to-cost, variable consideration and cumulative catch-ups (p. 76).
  - Net cumulative catch-up adjustments swung to $(2.6) million in FY2026, from +$6.0 million in FY2025 and +$5.4 million in FY2024 (p. 62).
  - FY2026 gross unfavorable adjustments were $16.9 million across 25 contracts (p. 62).
  - FY2025 benefited from $9.9 million of catch-up revenue on definitization of four LMS undefinitized contract actions (p. 62).
  - Forward loss reserves rose to $6.1 million from $0.1 million (p. 93).
  - The expected FY2027 switch of LMS to point-in-time recognition could shift revenue timing (p. 61).
- **Working capital:**
  - FY2026 operating cash used for working capital was $(128.7) million for receivables, $(159.0) million for unbilled receivables and $(111.6) million for inventories (p. 84).
  - Unbilled receivables and retentions rose to $570.4 million from $290.0 million (p. 80).
  - DSO including unbilled was 164 days in FY2026, versus 174 in FY2025 (calc.) (calc.; pp. 80, 81).
  - DIO was 77 days, versus 105 (calc.) (calc.; pp. 80, 81).
  - The inventory excess and obsolescence reserve rose to $36.6 million from $28.7 million (p. 100).
  - A $100 million receivables purchase facility with Citibank was undrawn at year-end (p. 71).
- **Cash taxes:** Cash taxes paid fell to $3.6 million from $24.6 million, helped by OBBBA R&D expensing, which flatters near-term cash flow (pp. 26, 113).
- **Auditor and material weaknesses:**
  - Deloitte, auditor since fiscal 2020, issued an unqualified opinion on the FY2026 financial statements but an adverse opinion on ICFR (pp. 79, 129).
  - The two material weaknesses are ineffective design of goodwill impairment analysis controls and ineffective GITCs for BlueHalo IT systems (p. 130).

  - The goodwill weakness caused restatement of the quarter ended January 31, 2026 via a Form 10-Q/A filed June 22, 2026 (p. 128).
  - BlueHalo and ESAero (about 46% of assets and 48% of revenue) were excluded from the ICFR assessment (p. 127).
  - The CEO and CFO concluded disclosure controls were not effective (p. 127).
- **Balance sheet intangibles:** Goodwill of $2,493.7 million and intangibles of $929.8 million sit against total equity of $4,400.4 million (p. 80).
  - The Space reporting unit retains about $291 million of goodwill (p. 90).

7. Key Risks

1. **Cash generation does not track adjusted earnings.** OCF went from $15.3 million (FY2024) to $(1.3) million (FY2025) to $(78.4) million (FY2026), and FY2026 FCF was -49.3% of Adjusted EBITDA (calc.). Any valuation built on Adjusted EBITDA needs a cash bridge (calc.; pp. 65, 84).
2. **Financial reporting reliability.** An adverse ICFR opinion, a restated quarter, and roughly 48% of revenue outside ICFR scope reduce confidence in the reported numbers, especially for the acquired businesses (pp. 76, 127, 128).
3. **BlueHalo/SCDE underperformance and further impairment.** Three indicators point the same way, and recently fair-valued BlueHalo and ESAero units are exposed to future material impairments (pp. 63, 68, 90, 118):
   - SCDE Segment Adjusted EBITDA was $(2.6) million. (pp. 63, 68, 90, 118)
   - BlueHalo's FY2026 loss from operations was $(365.5) million. (pp. 63, 68, 90, 118)
   - Space goodwill of about $291 million remains on the balance sheet. (pp. 63, 68, 90, 118)
4. **Litigation and compliance.** Either issue could affect DoD eligibility or result in damages (pp. 45, 55):
   - A May 26, 2026 securities class action alleges misleading SCAR statements by the CEO, the former CFO and the SCDE president. (pp. 45, 55)
   - An ongoing investigation into Legacy AV cybersecurity/SPRS compliance raises CMMC, penalty and debarment exposure. (pp. 45, 55)
5. **U.S. government funding concentration.** 85% of revenue comes from the U.S. government. All contracts are terminable at will, and BlueHalo materially increased shutdown exposure (pp. 18, 87).
6. **Supply chain dependence on China.** A significant majority of rare earth metals comes from China, which has sanctioned the company. The company also relies on sole-source suppliers and faces volatile memory component pricing (p. 25).
7. **Margin pressure from mix.** Two mix effects lower margins (calc.; pp. 26, 66, 81, 94):
   - Cost-plus rose to 23.0% of revenue from 8.3% (calc.), and cost-plus margins are typically lower. (calc.; pp. 26, 66, 81, 94)
   - Higher Switchblade production shifted legacy mix toward lower-margin products. (calc.; pp. 26, 66, 81, 94)
8. **Convertible note cash-settlement obligation.** The $747.5 million notes must be settled in cash up to principal on conversion and mature July 15, 2030. The $322.40 conversion price is well above the $142.18 June 24, 2026 share price, so principal repayment in cash is the likely outcome (pp. 35, 56).

8. Consistency Check

Narrative claim	Cite	What the numbers show	Cite	Flag

Narrative claim	Cite	What the numbers show	Cite	Flag
Risk factors put goodwill at $2,583.1 million as of April 30, 2026. Management separately discloses a goodwill error in the Space impairment analysis, caused by a newly identified material weakness: there was no control requiring a reconciliation of goodwill by reporting unit.	(pp. 51, 128)	The audited balance sheet and goodwill note show goodwill of $2,493,678 thousand (AxS $1,284,446 thousand; SCDE $1,209,232 thousand). The $2,583.1 million in the risk factor matches neither.	(pp. 34, 80, 101)	**Inconsistent.** The same balance is stated at two different values in one filing. The control failure is specifically about reconciling goodwill by reporting unit, and the Q3 10-Q was restated, so the gap may be a stale pre-restatement figure. Either way it affects confidence in the impairment headroom and carrying values.
Critical accounting estimates state that the FY2026 and FY2025 effective tax rates were below the 21% statutory rate, primarily due to the R&D credit, excess stock compensation benefits and the FDII deduction.	(p. 60)	FY2026 had a pre-tax loss with a $(23,059) thousand benefit, for a 7.5% effective rate. The reconciliation shows no FDII benefit in FY2026; FDII was $(7,830) thousand in FY2025 only. The dominant reconciling item was non-deductible goodwill impairment of $44,438 thousand, or -14.5% of the rate. R&D credits were $(8,290) thousand. The MD&A itself attributes the rate to the non-deductible impairment and lower FDII.	(p. 111)	**Inconsistent.** FDII cannot have driven the FY2026 rate because it was zero. On a loss year, a 7.5% benefit rate means less tax benefit, and that is driven by the impairment, not by credits and FDII. The critical-estimates text contradicts both the tax reconciliation and the MD&A.
MD&A states FY2025 included $12.0 million of favorable cumulative catch-up revenue adjustments from definitization of certain LMS contracts.	(pp. 62, 68)	The revenue note shows gross favorable cumulative catch-up adjustments of only $11,106 thousand in total for FY2025. The note's LMS items alone are $9,870,000 from UCA definitization and $2,177,000 from unpriced change orders. FY2025 reported revenue growth was 14.5%.	(calc.; pp. 62, 81, 93)	**Inconsistent.** A $12.0 million LMS-only favorable catch-up cannot fit inside a total gross favorable figure of $11.1 million. Either the note's gross total or the MD&A attribution is wrong. This matters because contract-estimate accounting is a critical audit matter.
MD&A compares FY2026 capex of $62.5 million with FY2025 capex of $22.8 million.	(p. 72)	The cash flow statement shows property and equipment purchases of $62.5M (FY2026) and $19.5M (FY2025). It also shows a separate investing outflow for capitalized software to be sold of $23.7M (FY2026) and $3.3M (FY2025); that balance rose to $27.4M. The segment note shows capex of $86.2M (FY2026) and $22.8M (FY2025). The FY2025 MD&A figure matches the segment basis, which appears to include capitalized software. The FY2026 MD&A figure matches the PP&E-only cash flow line. Calculated FCF of $(140.9)M uses PP&E only and excludes the $23.7M of software spend.	(calc.; pp. 84, 88, 125)	**Inconsistent.** The MD&A year-over-year capex comparison appears to mix two definitions: segment basis for FY2025 and PP&E-only for FY2026. That understates FY2026 capital intensity, and on either basis FCF is worse than the $(140.9)M PP&E-only figure. This extends the capex discrepancy already flagged by identifying the likely cause, and the reconciling item is growing fast.

Narrative claim	Cite	What the numbers show	Cite	Flag
MD&A attributes the FY2026 cost increases to 'intangible amortization': $126.4M in SG&A, plus $66.2M and $7.1M in cost of sales. The segment note labels $223.1M as intangible amortization and other purchase accounting.	(pp. 66, 67)	The intangibles note reports total FY2026 amortization expense of $204.0M, consistent with accumulated amortization moving from $137.2M to $341.7M. The BlueHalo acquisition note says BlueHalo's loss includes $208.5M of intangible amortization. Legacy AV amortization was $23.4M in FY2025, and ESAero added $1.1M in FY2026. The segment total is $223.1M.	(pp. 100, 116, 118, 122)	**Inconsistent.** BlueHalo's stated intangible amortization ($208.5M) exceeds the company's total intangible amortization ($204.0M), even though legacy and ESAero intangibles were also amortizing. The likely cause is that some non-amortization purchase accounting is labelled 'intangible amortization' in the BlueHalo note and MD&A. That item feeds directly into Adjusted EBITDA add-backs, so the split needs to be confirmed.
Approximately 85% of backlog is expected to be recognized as revenue in FY2027. Second-half revenue is expected to exceed first-half revenue again in FY2027.	(pp. 10, 11)	The 85% in the revenue note applies to remaining performance obligations of $1,176,192,000. Reported backlog is funded $1,183.0 million plus unfunded $1,457.7 million, for $2,640.7 million in total. Funded backlog covers only 0.60x of FY2026 revenue, down from 0.89x. Total backlog coverage is 1.34x.	(calc.; pp. 11, 81, 92)	**Needs explanation.** The business section applies 85% conversion to 'backlog' without saying it means funded backlog/RPO rather than total backlog. Most total backlog is unfunded and not covered by that conversion rate. Funded coverage has also fallen sharply, which weakens near-term revenue visibility.
Management states that cash, operating cash flow and financing will be sufficient for working capital and capex. It attributes the 97% rise in AxS segment adjusted EBITDA to $288.7 million mainly to higher revenue.	(pp. 68, 71, 72)	Free cash flow was $(140.9) million in FY2026 and $(20.9) million in FY2025, so FCF/Adj. EBITDA was -49.3%. Working capital absorbed cash: accounts receivable $(128,697) thousand, unbilled receivables $(158,980) thousand and inventories $(111,610) thousand. DSO including unbilled receivables is 164 days.	(calc.; pp. 65, 80, 81, 84)	**Needs explanation.** Strong adjusted EBITDA growth is not turning into cash. This is the second straight year of negative FCF. Liquidity rests on the July 2025 equity and convert raise, not on operations, and management does not explain when unbilled receivables and inventory will convert.
Segment Adjusted EBITDA excludes acquisition-related expenses and items described as 'one-time' non-operating items such as legal expense. Management also describes acquisitions as a regular method of obtaining capabilities.	(pp. 7, 65)	Acquisition-related add-backs recur every year: $1.9 million in FY2024 (Tomahawk), $19.3 million in FY2025 and $48.2 million in FY2026. A legal add-back of $2.1 million was taken in FY2025. Total add-backs were $332.0 million in FY2026. Excluding the impairment, add-backs equal 31.9% of Adj. EBITDA.	(calc.; pp. 65, 81, 84, 118, 120, 122, 123)	**Needs explanation.** For a serial acquirer, acquisition costs that recur and grow are arguably an operating cost, not a one-time item. Nearly a third of Adj. EBITDA comes from non-impairment add-backs, which matters for valuation multiples.
Gross margin fell from 39% to 25% because of higher amortization and purchase accounting and a higher service mix from BlueHalo. Risk factors warn that a shift toward cost-plus contracts would reduce operating margin. Fixed-price is described as about 70% of revenue.	(pp. 26, 27, 66)	Cost-plus revenue rose to 23.0% of revenue from 8.3%. T&M rose to 7.0% from 0.8%. Fixed-price fell to 70.0% from 90.9%. Calculated gross margin fell to 25.3% from 38.8%.	(calc.; pp. 81, 94)	**Needs explanation.** The exact shift the risk factor warns about has already happened. Yet the margin explanation calls it 'service mix' and does not address the structurally lower-margin contract types. Diligence should separate amortization from a permanent margin reset.
MD&A attributes the FY2025 gross margin decline from 40% to 39% mainly to $4.6 million of accelerated UGV intangible amortization.	(pp. 68, 69)	The intangibles and impairment notes put UGV accelerated intangible amortization at $4,258,000 ($4.3 million). Calculated FY2025 gross margin was 38.8%.	(calc.; pp. 81, 89, 101)	**Needs explanation.** The same charge is reported as $4.6 million in MD&A and $4.3 million in the notes. The gap is small, but the cause is unexplained; it could be that only part of the charge sits in cost of sales, or that other items are included.

Narrative claim	Cite	What the numbers show	Cite	Flag
BlueHalo 'significantly enhanced' core capabilities. SCDE revenue of $618.8M came entirely from BlueHalo. Extra Space R&D and capex is expected to 'improve long-term product margins', and Space long-lived assets passed recoverability.	(pp. 9, 59, 63, 68, 102, 116)	SCDE segment adjusted EBITDA was $(2.6)M on $618.8M of revenue, a -0.4% margin, versus 21.3% for AxS. BlueHalo posted a $(365.5)M operating loss, including $208.5M of intangible amortization and a $240.7M goodwill impairment. The Space unit still carries about $291M of goodwill. Merger consideration was $3,484.9 million net of cash.	(calc.; pp. 65, 90, 118)	**Needs explanation.** MD&A explains SCDE revenue only as acquisition-driven and gives no explanation for SCDE earning roughly zero even after all add-backs. That undercuts the strategic framing of a ~$3.5B deal and the margin-improvement thesis behind the remaining $291M of Space goodwill.
Management describes its revenue-recognition judgments and estimates as applied consistently and historically reliable.	(pp. 60, 62, 76, 128)	Net cumulative catch-up adjustments swung from +$6.0M in FY2025 to $(2.6)M in FY2026. Unfavorable catch-ups were $16.9M across 25 contracts. Forward loss reserves rose from $0.1M to $6.1M, including $3.9M on a single IAMD contract. Contract estimates are a critical audit matter, and Q3 FY2026 financials were restated.	(pp. 62, 93)	**Needs explanation.** The 'historically reliable' characterization reflects legacy-AV history. The FY2026 data, half of which comes from newly acquired BlueHalo contracts outside the ICFR scope, show deteriorating estimate outcomes and new loss contracts.
Capital expenditures (purchases of property and equipment) were $62.5 million in FY2026 and $22.8 million in FY2025.	(p. 72)	Capital expenditures were $86,218 thousand in FY2026 (AxS $50,780, SCDE $29,380, Corporate $6,058).	(p. 125)	**Needs explanation.** Code check: the same line item (Capex, FY2026) is stated with values that differ by $23.7M (calc.), more than rounding allows. Confirm which figure is right: a typo, a restatement, or a different definition.
SG&A expense was $443.0 million, or 22% of revenue	(p. 66)	SG&A was $443,251 thousand in FY2026.	(p. 65)	**Needs explanation.** Code check: the same line item (SG&A, FY2026) is stated with values that differ by $0.3M (calc.), more than rounding allows. Confirm which figure is right: a typo, a restatement, or a different definition.

9. Questions for Management

Financial

1. Provide a bridge from FY2026 Segment Adjusted EBITDA of $286.1 million to operating cash flow of $(78.4) million (pp. 65, 84).
2. What is the billing and collection schedule for the $570.4 million of unbilled receivables? (p. 80)
3. Reconcile FY2026 capex of $62.5 million in the cash flow statement with $86.2 million in segment disclosures (pp. 84, 125).
4. Reconcile FY2025 capex of $19.5 million with the $22.8 million cited in MD&A and segment data (pp. 84, 125).
5. Reconcile goodwill of $2,583.1 million cited in MD&A with $2,493.7 million on the balance sheet (pp. 34, 80).
6. Reconcile depreciation of $35.8 million (PP&E note) with $41.9 million (segment note) (pp. 103, 122).
7. Reconcile amortization of $204.0 million with $223.1 million (pp. 100, 122).
8. What is in the $130.4 million of purchase accounting adjustments in SG&A beyond intangible amortization, and will any of it recur? (p. 66)
9. Break out the $48.2 million of FY2026 acquisition-related add-backs into transaction vs. integration costs, and give the expected run-off (pp. 118, 122).

10. What is the path for SCDE from $(2.6) million Segment Adjusted EBITDA to breakeven? (p. 68)
11. Which programs drove the negative SCDE Segment Adjusted EBITDA?
12. What drove the $16.9 million of unfavorable EAC adjustments across 25 contracts? (p. 62)
13. Is the IAMD forward-loss contract ($3.9 million reserve) isolated? (p. 93)
14. What is the expected FY2027 revenue timing impact of moving LMS to point-in-time recognition? (p. 61)
15. What are the maximum leverage and minimum fixed charge coverage covenant levels, and how much headroom does the company have? (pp. 36, 104)
16. How does the company plan to fund cash settlement of the $747.5 million notes at maturity or on conversion? (p. 35)
17. What are the cash tax expectations post-OBBBA, and are federal NOLs of $180.3 million subject to Section 382 limits? (p. 112)

Customers & Contracts

18. What share of revenue came from the top-10 customers in each of the last three years? (Not disclosed)
19. What were book-to-bill ratios by segment for FY2025 and FY2026? (Not disclosed)
20. What share of revenue is prime vs. subcontract, and who are the largest primes? (Not disclosed) (p. 40)
21. What termination-for-convenience settlement is expected on SCAR/BADGER, and what Space unit assumptions support the remaining goodwill of about $291 million? (pp. 34, 90)
22. How sustainable is international demand after the non-U.S. revenue share fell from 62% to 28%? (p. 125)
23. What is the current status of the FMF-funded FMS contracts that were stop-worked? (p. 19)
24. What share of unfunded backlog of $1,457.7 million is option-based or at risk of non-exercise? (p. 11)

Operations

25. How many employees hold security clearances, by level? (Not disclosed)
26. What has the company done to mitigate the Chinese rare earth dependence, and how much inventory is on hand? (p. 25)
27. What is the remediation timeline and cost for the two material weaknesses? (p. 128)
28. When will BlueHalo be brought within ICFR scope? (p. 50)
29. What cost synergies are targeted from BlueHalo and ESAero, and how much has been achieved to date? (p. 22)
30. What manufacturing capacity expansion is planned with the remaining offering proceeds, and what is the expected capex? (p. 70)

Other

31. What is management's estimate of addressable market size by product line? (Not disclosed)
32. Does the business have ITAR or U.S. export-control exposure, and are there any open voluntary disclosures? (Not disclosed)
33. What are the scope, preliminary findings and potential DoD consequences of the Legacy AV cybersecurity/SPRS investigation? (p. 45)
34. What is the current CMMC certification status? (p. 54)
35. What is the status and defense posture of the SCAR securities class action? (p. 55)
36. Why did Arlington's directors resign, and what are Arlington's intentions for its 26.3% stake? (pp. 48, 49)
37. What is the status of the lock-up on BlueHalo consideration shares? (p. 49)
38. What prompted the CFO transition? (p. 134)

APPENDIX: COVERAGE NOTES

- Citations use printed page numbers (PDF page = printed page + 1).
- MD&A narrative pass covers MD&A, pp. 58-74.
- 138 of 138 PDF pages had extractable text and were analyzed.
- 1045 findings verified against the source; 28 rejected (quote or number not found on the cited page). See rejected.json.
- 9 memo lines deleted by the citation check (no valid citation or unsupported number). See citation_log.md.